

Counter-Offers

How a reply can change the offer - and the power to accept it

Negotiation often begins with one proposal and ends with different terms. English contract law distinguishes acceptance of an offer from a reply proposing a different bargain. This distinction explains why saying “I accept, but...” may fail to create a contract.

1 Offer and acceptance: the starting point

An **offer** proposes sufficiently definite terms and shows willingness to be bound if those terms are accepted. The person making it is the **offeror**; the recipient is the **offeree**. **Acceptance** is agreement to the offer on its terms.

The **mirror image rule** means that acceptance must correspond to the offer. It does not require repeating the same words. It requires agreement to the proposed bargain, rather than insisting on different terms.

2 What a counter-offer does

A **counter-offer** proposes a new bargain in response to an offer. A reply that makes agreement conditional on a changed price, payment period or other term normally amounts to a counter-offer.

A counter-offer generally has two effects: it rejects the original offer, and it puts forward a new offer. The original offeror now becomes the recipient of the new proposal and can accept or reject it.

EXCHANGE	LEGAL SIGNIFICANCE
Seller: “I offer you this desk for £100.”	The seller makes an offer.
Buyer: “I will buy it for £80 instead.”	The buyer proposes a counter-offer, rejecting the £100 offer.
Seller: “I agree to sell it for £80.”	The seller accepts the counter-offer.

3 Agreement is one part of formation

Once an offer is validly accepted, agreement is established. An ordinary simple contract also generally requires **consideration** - something of value given or promised in exchange - and **intention to create legal relations**. Some transactions require particular formalities.

This guide focuses on the offer-and-acceptance stage. When reading an exchange, ask which proposal was still available for acceptance and whether the reply agreed to it.

Hyde v Wrench

(1840) 3 Beav 334; 49 ER 132 · Lord Langdale MR

4 The negotiation

Wrench offered to sell a farm to Hyde for £1,000. Hyde proposed £950 instead. Wrench rejected that proposal. Hyde then attempted to accept the earlier £1,000 offer and sought **specific performance**: a court order requiring the sale to be carried out.

STEP	WHAT HAPPENED
1 Offer	Wrench proposed a sale for £1,000.
2 Counter-offer	Hyde proposed £950, rejecting the £1,000 offer.
3 Rejection	Wrench refused the £950 proposal.
4 Attempted acceptance	Hyde tried to accept the earlier £1,000 proposal.

5 The decision and who won

Lord Langdale held that no binding contract existed. Hyde's counter-offer had rejected the earlier offer. He could not revive it merely by later expressing agreement to its price.

Outcome: Wrench won. Hyde's claim failed, so the court did not compel the sale. The decisive issue was failure to form a contract, rather than breach of an existing contract.

Lesson: Rejection of a counter-offer does not automatically restore the original offer. The parties may negotiate again, but a fresh or renewed proposal is needed.

6 Apply the rule to an everyday example

Maya offers to sell her camera to Leo for £200. Leo replies: "I will pay £170 instead." Maya rejects £170. Leo then says: "All right, I accept £200."

On these assumed facts, Leo's £170 proposal was a counter-offer. His later response cannot, by itself, accept the rejected £200 offer. If Maya renews that offer and Leo validly accepts it, a new agreement may be reached.

7 A short case analysis

Issue: Can a person accept an original offer after rejecting it by counter-offer?

Rule: A counter-offer generally rejects the original offer.

Application: The changed-price proposal replaced acceptance with a different bargain.

Conclusion: Later agreement to the old price alone does not create a contract.

The rule concerns how agreement is formed. It does not punish bargaining or prevent the parties from making a new deal.

A Counter-Offer or a Question?

8 Asking is not always rejecting

An offeree may seek information before deciding. A **request for information**, also called a **mere inquiry**, does not necessarily reject the offer. The court considers the reasonable meaning of the reply in its context.

ILLUSTRATIVE REPLY TO A £100 OFFER	LIKELY MEANING
"I will buy it only if the price is £80."	A counter-offer: agreement depends on a changed price.
"Would you consider a lower price? I have not decided whether to accept."	An inquiry, rather than a rejection on these facts.
"I accept the £100 offer. Could you also include a receipt?"	Acceptance plus a request, assuming the receipt is not a condition of agreement.

A question mark does not decide the issue. "How about £80 instead?" could communicate a counter-offer in context. Equally, an unconditional acceptance can be followed by a separate request without necessarily changing the bargain.

9 Stevenson, Jaques & Co v McLean

(1880) 5 QBD 346 · Queen's Bench Division

McLean offered to sell iron. The prospective buyers asked whether he would accept delivery spread over two months or what time limit he would allow. The court treated their telegram as an inquiry, rather than a counter-offer rejecting the original terms.

The buyers subsequently accepted the original offer before receiving notice of its withdrawal.

Outcome: the buyers won; a contract had been formed, and judgment was given in their favour. Their question had not ended their ability to accept.

Compare: Hyde proposed a different purchase price; Stevenson's telegram sought information about possible delivery arrangements. Read the function of the response, rather than treating every discussion of different terms as rejection.

10 An inquiry does not guarantee an open offer

An inquiry does not itself terminate the offer. The offer may nevertheless end for another reason, such as expiry or an effective withdrawal. Before concluding that acceptance formed a contract, check that the original offer was still available.

Keep three responses separate: **acceptance** agrees to the offer; a **counter-offer** proposes a replacement bargain; an **inquiry** asks for information without necessarily rejecting anything.

Analysis and Legal English

11 Follow the negotiation in order

Find the offer. Identify its terms and any deadline.

Classify each reply. Does it accept, reject, propose a different bargain or ask a question?

Track the current proposal. A rejected offer cannot simply be accepted later.

Find effective acceptance. Check which still-open proposal was accepted.

Explain the result. State whether agreement exists and why; consider other formation requirements separately.

12 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Offeror / offeree	The person making an offer / the person receiving it.
Counter-offer	A new proposed bargain in response to an offer.
Mirror image rule	Acceptance must agree to the offered terms.
Unconditional acceptance	Agreement that does not depend on changing the bargain.
Mere inquiry	A question seeking information, without necessarily rejecting the offer.
Specific performance	A court order requiring a contractual obligation to be performed.

13 Check your understanding

1. A seller offers a laptop for £300. The buyer replies: "I accept, but only at £250." Is that acceptance?
2. If the seller rejects £250, does the £300 offer automatically return?
3. Does asking about possible delivery dates always reject an offer?
4. Who won in *Hyde v Wrench*, and why?

Answers: 1. No; the changed-price condition makes it a counter-offer. 2. No; a fresh or renewed proposal is needed. 3. No; it may be a mere inquiry, depending on wording and context. 4. Wrench; Hyde's counter-offer rejected the original offer, so his later attempted acceptance did not form a contract.

Authorities and source material

Hyde v Wrench (1840) 3 Beav 334; 49 ER 132. Reproduced judgment passage.

Stevenson, Jaques & Co v McLean (1880) 5 QBD 346. Judgment extract. Included to explain the distinction between counter-offers and inquiries.

Based on the supplied *Counter-Offers - Contract Law* lesson. Examples are simplified for readers without legal training; this guide concerns English law.